

STRICTLY PRIVATE AND CONFIDENTIAL

L'avenir

Due Diligence Memorandum

Private placement of EGP 100 million. Companion to the Investment Memorandum and Financial Annex.

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Issued by Jalour Developments, a subsidiary of Al Jalal Holding, Cairo. October 2026.

Purpose and status

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This memorandum helps the investor and its advisers plan and carry out due diligence. It lists the documents Jalour will provide, the legal and regulatory structure, the evidence behind the main assumptions, the opinions and security documents required, a candid list of red flags, and the open items. It describes status as at October 2026. Items marked [After NDA] are provided after the investor signs a non-disclosure agreement; items marked [Pending] are being prepared. It is not legal advice.

Where this memorandum and the Investment Memorandum differ, the Investment Memorandum and the Financial Annex are the reference for figures; the definitive agreements prevail over both.

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1. Corporate and project-company structure

Table 1: Structure

Layer	Entity	Status
Holding	Al Jalal Holding, Cairo	[After NDA]
Sponsor and developer	Jalour Developments	[After NDA]
Project company	[Name, jurisdiction and capital to be confirmed]	To be formed or confirmed; holds the project rights and issues the investor entitlement
Landowner	Al Ahly Sabbour	Counterparty under the development agreement
Investor	[Name]	KYC and source-of-funds to be completed

- The project is held in its own company. There is no cross-collateral and no cross-default with other Jalour projects. The investor has no exposure to other Jalour projects.
- The legal form of the investor's entitlement (equity, loan or contractual entitlement) is open and drives tax, regulation and enforceability. Counsel to advise; see section 6.
- No funds are ring-fenced or held in restricted accounts under the proposed structure. Jalour's position is that the rule requiring a separate project account for developers on state-allocated land does not apply to these plots; the basis is in the data room.
- The balance of project funding is provided by Jalour sponsor equity, project collections and other capital sources.

Jalour may raise further capital at project or holding level, subject to the investor's stated rights as to ranking, collateral and information. This is a standard term and does not offer exclusivity.

2. Al Ahly Sabbour agreement and consent status

Table 2: Agreement terms and evidence

Term (from the Jalour model)	Detail	Evidence to provide
Landlord share	35% of collections	Signed agreement
Minimum guarantee	EGP 850 million over six years	Schedule and payment mechanics
Down payment	EGP 85 million (10%)	Proof of payment or payment date
Guarantee schedule	Y1 0, Y2 90, Y3 180, Y4 225, Y5 180, Y6 90 (EGP million)	Agreement schedule
Excess over guarantee	Settled from year 8	Settlement clause
Scope	Jalour designs, permits, builds (core and shell), markets, sells, collects, operates	Scope and approvals clauses
Delivery	Project month 54	Delivery covenant, remedies for delay

Consent requirements and status

Table 3: Consents

Consent	Needed for	Status
Allocation of units to the investor	Option A	[Status after NDA]
Assignment of the investor's contract before handover	Option A	[Status after NDA]
Earmark of unsold units as collateral	Option B	[Status after NDA]
Acknowledgement that landlord payments are unchanged and borne by Jalour	Both	[Status after NDA]
Any assignment of collections or encumbrance affecting the landlord share	Not proposed	Not required unless the structure changes

Receipt of the landlord's written consent is a condition precedent to signing. The investor should see the consent before funding.

3. Permits, licences and land status

Table 4: Permit and land status

Item	Status	Document
Land title and allocation to the landowner	[After NDA]	Title deed, allocation contract, master-developer approvals
Master-plan and detailed-plan approval for the plot	[After NDA]	Ministerial or authority approval
Building permit and licences	[After NDA]	Permit, civil defence, utilities
Environmental and utilities approvals	[After NDA]	Approvals and capacity letters
Sales approval before launch	[After NDA]	Authority approval to announce and sell (see section 6)
Design and consultant appointment	[After NDA]	Appointment letters, design approvals

Prime Minister Decree 2184 of 2022 reportedly bars developers on state-allocated land from announcing sales before approval of the general and detailed plans (Invest-Gate; Mondaq). Jalour's position is that it does not apply to these plots; the basis is provided in the data room after the investor signs a non-disclosure agreement.

4. Construction and cost basis

Table 5: Cost basis

Cost line	EGP million	Basis
Construction (core and shell)	697.2	Stage schedule scaled by a factor of 8 in the model [Jalour to explain what the factor represents and provide contractor pricing]
Sales commission	106.9	4% of sales value, paid 12 months after each sale quarter
SG&A and others	104.6	15% of construction: contingency 5%, professional fees 5%, overhead 5%

Table 6: Stage cost schedule in the model

Stage group (model unit schedule)	EGP million before factor of 8
Excavation and replacement	5.800
Concrete structure	14.900
Building works	1.320
MEP and plumbing	40.000
Curtain walls	21.000
Landscape	4.125
Total per unit schedule	87.145

- Cost per m2 of built-up area is about EGP 52.0 thousand, for core and shell including a basement stage. Jalour to provide a bill of quantities and contractor quotation to support it.
- The model applies no construction cost inflation over the 36-month build. Jalour's working papers contain a construction-cost index that is not applied in the model. A 10% overrun reduces project NPV by EGP 50 million and a 20% overrun by EGP 99 million.
- Design, permit and pre-construction costs are not separately modelled. The funding plan adds EGP 10.5 million as an assumption.
- Independent engineer review of cost and programme is recommended (optional protection).

5. Sales and pricing evidence

Table 7: Pricing against market evidence

EGP per m2	Plan: launch	Plan: delivery list	Plan: average realised	Market evidence (asking)
Offices	160,000	240,000	191,250	106,000 to 120,000 (Mostakbal City listings, 2026)
Retail	250,000	360,000	300,938	139,000 to 325,000 (New Cairo listings, individual)

- The plan raises list prices by 44% (retail) and 50% (offices) from the first to the last sales tranche. New Cairo secondary prices rose 3.1% y/y in Q1 2026 (JLL via Enterprise); broker estimates for 2026 are 10% to 16% a year (a blog estimate). Against today's office asking prices (mid-point EGP 113,000) the delivery list is +112%, about 18% a year to handover.
- Sellable office area in the model is 10,437 m2, against 8,946 m2 of office built-up area. Jalour to provide the sellable-area schedule. If the lower area were right, office sales at 80% would be about EGP 228 million lower.
- Payment plans: down payment 5% to 20%, equal second payment after three months, instalments over 2 to 8 years, delivery payment 20% to 25%. Delivery payments are collected on a contractual milestone before handover; Jalour to provide the standard sale contract showing the milestone.
- No sales have been contracted yet [Jalour to confirm]. Evidence to provide: broker valuation, comparable transactions, reservation register once sales begin.

Table 8: Sales sensitivities (Jalour net cash flow)

Sales sensitivity	NPV (EGP m)	Peak shortage (EGP m)
Prices -19%	100	175
Prices -9%	204	138
Prices +10%	412	88
Sales delayed 6 months	214	366
Sales delayed 12 months	126	779
Sales delayed 24 months	-34	1,179
Delivery payments at handover	275	244

6. Legal and regulatory structure, and opinions required

6.1 Questions for counsel (no legal conclusions are given here)

- Nature of the instrument and whether the placement needs any filing, approval or exemption with the Financial Regulatory Authority or another body; investor eligibility.
- The basis for Jalour's position that the separate project-account rule for developers on state-allocated land (Decree 2184 of 2022) does not apply to these plots. The proposed structure does not ring-fence funds.
- Validity, assignability and any change-of-control or consent clauses in the landlord agreement.
- Enforceability of the unit allocation, the earmark and negative pledge, and of any promissory notes or post-dated cheques.
- Rules on assignment (resale) of off-plan contracts and on developer consent and fees.
- Foreign investor matters: ownership of units, repatriation of proceeds and foreign-exchange availability.
- Tax: withholding on Option B payments, tax on Option A resale gains, registration fees and real estate disposal tax.

6.2 Opinions and certificates required

Table 9: Opinions

Opinion or document	Given by	Status
Capacity, authority and due execution (project company, Jalour)	Jalour counsel	[Pending]
Enforceability of the investment agreement and security	Jalour counsel	[Pending]
Title and rights to the plot; landlord agreement validity	Counsel	[Pending]
Regulatory position of the placement	Counsel	[Pending]
Tax opinion on both options	Tax adviser	[Pending]
Foreign investor and repatriation opinion (if applicable)	Counsel	[Pending]

7. Security documentation

Table 10: Documents

Document	Parties	Applies to
Investment agreement	Project company, Jalour, investor	Both options
Unit allocation agreements (registered)	Project company, investor	Option A
Landlord consent and acknowledgement	Al Ahly Sabbour, project company, investor	Both
Earmark and negative pledge over unsold units	Project company, investor	Option B
Payment priority and information undertaking	Project company, Jalour, investor	Option B
Sponsor funding undertaking (project funding gaps; not a return guarantee)	Jalour, project company	Both
Promissory notes or post-dated cheques (optional)	Project company, investor	Option B
Corporate approvals, incumbency, KYC	All	Both

Nothing in the package is a restricted account, escrow or segregated collection account. The investor's protection rests on covenants, reporting and the earmarked or allocated units, and on Jalour's funding undertaking.

8. Structures considered and rejected

8.1 Option A: source of units

The units must come from sellable inventory that carries the launch list price. Jalour has decided not to use the 20% of units it retains.

Table 11: Unit sources

Source considered	Jalour cost of capital	NPV to Jalour at 14% (EGP m)	Effect
First two sales tranches at launch list (recommended)	22.6%	-20.8	Removes 28% of those tranches; landlord payments unchanged
Same area taken pro rata from all tranches (higher average prices)	31.6%	-44.9	Costs more because later units are priced higher
Retained 20% of units	Not considered	n/a	Excluded by Jalour

A mix of retail and offices in proportion to the launch tranches (retail 31%, offices 69%) is recommended. Retail alone would exceed the retail inventory of those tranches at larger tickets. Offices alone are possible but are the harder asset to replace in the early sales.

8.2 Option B: payout structures

Table 12: Option B structures

Structure	Investor IRR (base)	Quarters < 1.5x (net cash flow)	Downside lowest pooled cash (EGP m)	Why rejected or chosen
S1 fixed multiple, equal instalments	26.5%	4 of 12	-864	Chosen: simple and certain
S2 19.7% of collections, floor and cap	28.7%	3 of 12	-851	Takes cash needed for construction; no better coverage
S3 fixed 1.8x plus 2.9% of collections	27.4%	3 of 12	-854	More complex; same coverage issue

A 1.5x coverage test on quarterly net cash flow cannot be met in the construction-peak quarters by any structure that pays in them. Reducing the multiple would not cure it. The structure therefore pays on a fixed schedule, discloses the shortfall, and relies on pooled cash, the payment priority covenant and Jalour's funding undertaking.

9. Risks and mitigants

Table 13: Risk register

Risk	Effect on the investor	Mitigant	Residual
Price below plan	Option A value falls; project cash weaker	Downside case; Option B unaffected by price	Medium
Sales delay	Funding peak EGP 779 million at 12 months	Jalour funding; phased sales	High
Delivery payments at handover	Peak EGP 244 million	Contractual milestone; Jalour funding	Medium
Cost overrun	NPV down EGP 50 million per 10%	Contingency; fixed-price contracts; engineer	Medium
Landlord consent or dispute	Allocation blocked or delayed	Condition precedent	Low if obtained
Jalour funding capacity	Option B payouts depend on it in downside	Funding undertaking; audited accounts; payment priority	High
Legal and regulatory	Structure may need change	Counsel review before signing	Medium
Liquidity	No market for Option B; Option A resale discount	Contractual schedule; early-assignment table	Medium

10. Red-flag disclosure list

Candid disclosure protects both sides. These points are known to Jalour and may reduce the investor's return or increase risk.

1. **Delivery payments are collected before handover.** The model collects them at project month 45, 9 months before handover. If collected at handover the peak shortage is EGP 244 million, not EGP 102.0 million.
2. **Price growth.** The plan needs list prices to rise 44% (retail) and 50% (offices); launch office prices exceed current Mostakbal City asking prices; recent growth evidence is mixed.
3. **Sellable office area** (10,437 m2) exceeds office built-up area (8,946 m2); not yet reconciled.
4. **Cost basis.** Construction cost is a stage schedule multiplied by a factor of 8 that is not yet explained; no inflation; no separate pre-construction cost.
5. **No sales are contracted yet** and the permit, title and consent documents in sections 2 and 3 are provided after the investor signs a non-disclosure agreement.
6. **Payout coverage.** Net cash flow covers Option B instalments by 1.5x or more in only 8 of 12 quarters; the minimum on net cash flow is -6.7x. Pooled cash covers at least 3.5x in the base case.
7. **Downside funding need.** With sales delayed 12 months and prices 10% lower the funding need is EGP 849 million and the lowest pooled cash after Option B payouts is EGP -864 million. The investor relies on Jalour's capacity to fund it; there is no parent guarantee and no restricted account.
8. **Option A uses the first sales tranches.** The investor receives 28% of the launch-priced inventory, which raises the peak shortage before the ticket from EGP 102.0 million to EGP 137.4 million and gives the investor units that compete with Jalour's later sales.
9. **Commission timing.** The model pays commission 12 months after each sale quarter; if paid at sale, early funding needs are higher.
10. **Sponsor information** (track record, audited accounts) is provided only after the investor signs a non-disclosure agreement, and the **form of the investor's instrument** is still open.
11. **Market data** are reported from third-party summaries and asking prices; they are not audited.

11. Questions an investor is likely to ask

Is the price growth realistic? The plan needs +44% retail and +50% offices. Evidence is mixed (section 5). Option B removes the exposure; the Option A downside shows 20.4% IRR.

What if delivery payments are not received early? Peak funding rises to EGP 244 million (Investment Memorandum, section 11). Jalour funds the gap.

Who pays if the project has a gap? Jalour has said it will cover project funding gaps from its cash reserves and from cash generated by other projects it is constructing. The form and cap are to be documented; see red flag 7.

Why is coverage below 1.5x in some quarters? Instalments fall in the construction peak. The disclosure is in Investment Memorandum section 13.3.

Can I sell the units early? Only the contract, with Jalour consent and landlord acknowledgement, and likely at a discount (Investment Memorandum section 16).

12. Data-room index

Table 14: Data-room index

No.	Folder	Contents	Status
1	Corporate	Constitutional documents, registrations, board approvals, structure chart	[After NDA]
2	Landlord	Agreement with Al Ahly Sabbour, payment schedule, down payment proof, consents	[After NDA]
3	Land and permits	Title, plans approvals, building permit, licences	[After NDA]
4	Design and cost	Drawings, area schedule, bill of quantities, contractor quotes, programme	[After NDA]
5	Sales	Price list, payment plans, standard sale contract, valuation, comparables	[After NDA]
6	Financial model	Financial Annex (provided with this pack)	Provided
7	Sponsor	Track record, team, audited accounts of Jalour and Al Jalal Holding	[After NDA]
8	Legal	Draft investment agreement, security documents, opinions	[After NDA]
9	Market	Reports and sources cited in Investment Memorandum Appendix D	Provided (citations)

13. Open items

Table 15: Open items

No.	Item	Owner
1	Landlord written consent: allocation, assignment, earmark	Jalour
2	Legal form of the investor's instrument, project company name and jurisdiction	Jalour and counsel
3	Confirm Jalour will not guarantee the return; documentation of the funding undertaking (form, amount)	Jalour
4	Evidence that delivery payments are contractual before handover	Jalour
5	Area schedule reconciling sellable and built-up office area	Jalour
6	Cost basis: contractor quote, bill of quantities, factor of 8, pre-construction budget	Jalour
7	Permits, licences, title status	Jalour
8	Track record, team, audited financial statements	Jalour
9	Regulatory position of the placement; separate project account question	Counsel
10	Secondary transfer rules and fees for unit contracts	Jalour and counsel
11	Foreign investor, FX and repatriation treatment	Counsel
12	Verification of market data against original sources	Jalour